ICIS
Independent Commodity Intelligence Services

Glycerine (Asia-Pacific)

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Overview | Outlook | Prices | Upstream

Please click here for full details on the criteria ICIS uses in making these price assessments.

OVERVIEW

- **Buyers remain cautious amid strong US dollar**
- **Downstream ECH market remains weak**
- **Higher biodiesel output results in ample glycerine**

Asia's glycerine market continued to face downward price pressure as buyers held back from any large purchases and adopted a cautious stance, given the stronger US dollar versus local currencies.

Spot interest was tepid, with trades mostly confined to smaller parcels on a needs basis.

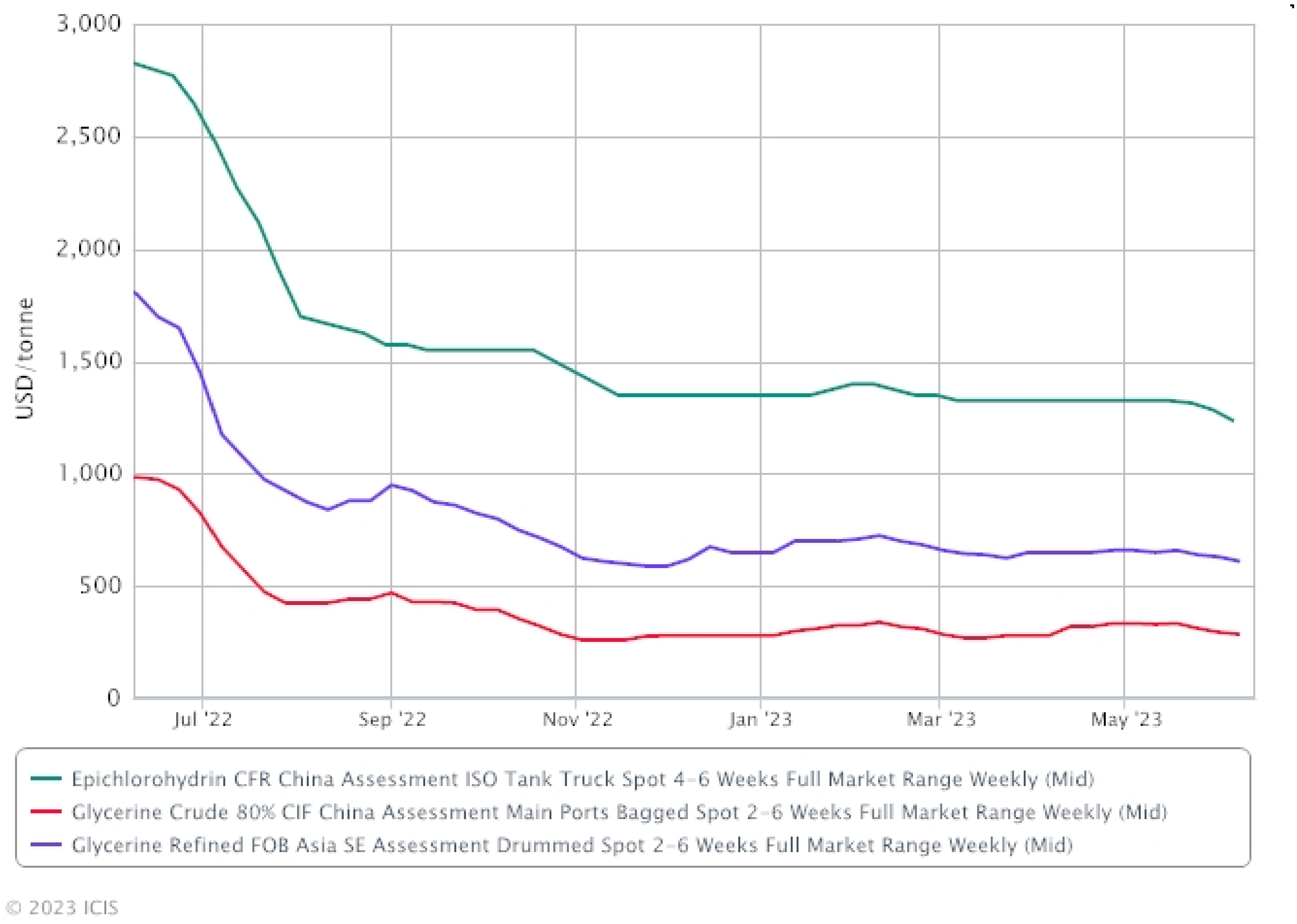
Glycerine supply has lengthened, in light of the increased B35 biodiesel mandate in Indonesia. Glycerine is a by-product of biodiesel.

Indonesia's B35 biodiesel mandate, which was implemented in June, has led to more glycerine available in the US dollar-denominated spot market.

Previously, Indonesia's biodiesel mandate was B30, with biodiesel comprising 30% of conventional diesel oil. The biodiesel programme is to encourage renewable fuel derived from palm oil.

The downstream epichlorohydrin (ECH) market remained weak, weighing on demand for glycerine.

Bearish market sentiment and limited spot interest continued to characterise the glycerine market in Asia.



OUTLOOK

- **Biodiesel output to boost glycerine supply**
- **Downstream ECH market to remain weak**
- **Slowing global economy to weigh on demand**

PRICES

SPOT PRICES

			Price Range		Four Weeks Ago	US CTS/lb
Glycerine Crude 80%						
CIF China Main Ports Bagged	USD/tonne	-10	280-290	-10	320-340	12.70-13.15
Glycerine Refined						
CFR NE Asia Drummed	USD/tonne	n/c	620-640	-40	640-700	28.12-29.03
CFR China Drummed	USD/tonne	n/c	620-640	-40	640-700	28.12-29.03
FOB SE Asia Drummed	USD/tonne	n/c	600-620	-40	620-680	27.22-28.12

Refined glycerine

Spot prices were lower this week, reflecting trades and current discussion levels.

Although there was some spot interest, buying indications had fallen, versus selling indications.

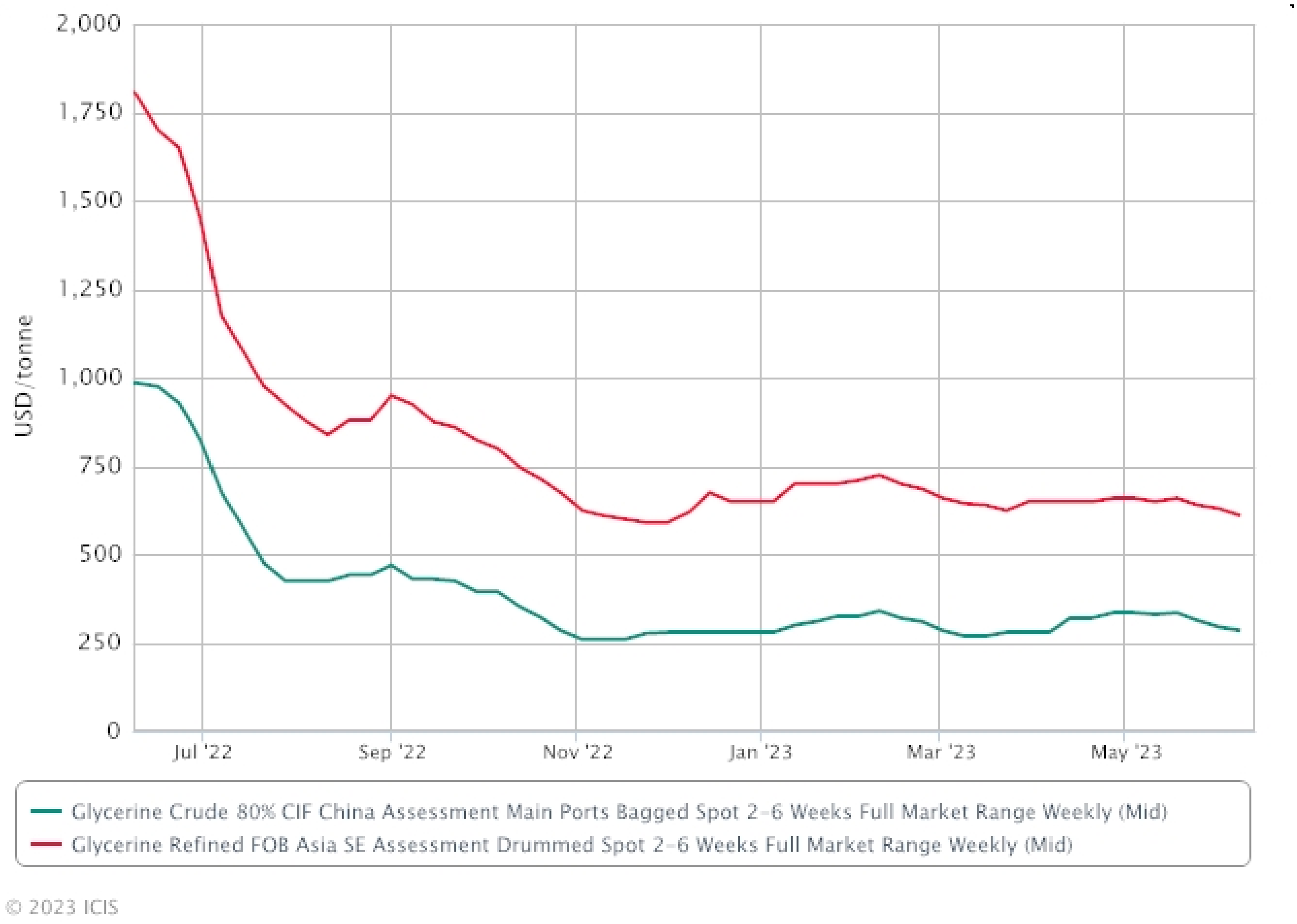
Suppliers were unwilling to lower their offers despite the persistently wide buy-sell price gap.

However, there was talk that some flexibag deals had been fixed, equivalent to $600-620/tonne FOB SE Asia for drummed cargoes.

Sellers have been targeting the premium food, tobacco and home personal care (HPC) markets, given the slump in the downstream ECH market.

However, overall demand for glycerine has shrunk due to the slowing global economy.

Inflation woes, recession fears and a slower-than-expected rebound in China's economy have eroded investor and consumer confidence.



Crude glycerine

Spot prices continued to drop, reflecting trades at $280-290/tonne CIF China for July spot shipments from Latin America.

Buying indications had fallen to around $250/tonne CIF China for bagged shipments but sellers were unwilling to reduce their offers to this price level.

A wide buy-sell gap hampered spot transactions, with both buyers and sellers deadlocked in their negotiations.

The slump in the downstream ECH market and weak market sentiment in China weighed on demand for crude glycerine.

Product from Brazil or Latin America is usually priced lower than product from southeast Asia because it is subject to a 6% import duty and is of a lower 80% purity level.

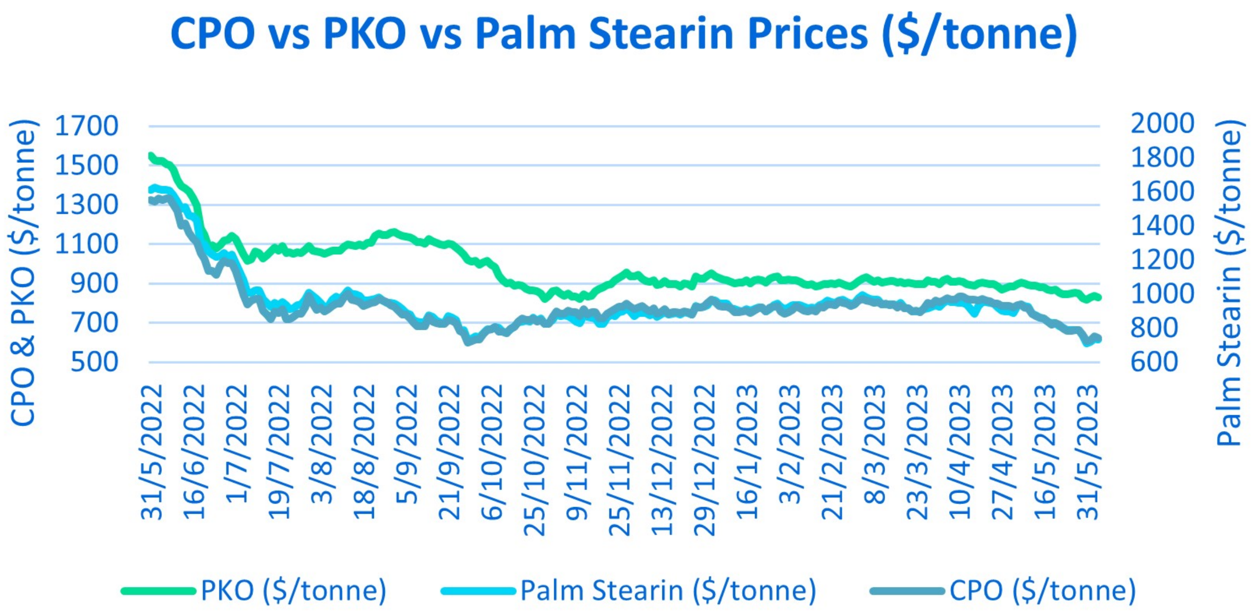
Furthermore, it also takes 5-8 weeks to ship product from Brazil to China.

Crude glycerine from southeast Asia is typically at a higher 85% purity level. Its duty-free status and quick delivery time of about a week allows it to command a premium.

Product from southeast Asia is also not subject to import duty because of the free trade agreement (FTA) between the Association of Southeast Asian Nations (ASEAN) and China.

Discussions and trades of southeast Asia-origin product sold into China are not taken into consideration in the assessment.

UPSTREAM



Product	Delivery	6 June	30 May
CPO	DEL, south Malaysia	M$3,430	M$3,500
PKO	DEL, south Malaysia	$829.24	$827.09
Palm Olein	FOB, Malaysia	$795.00	$812.50
Palm Stearin	FOB, Malaysia	$735.00	$755.00
PFAD	FOB, Malaysia	$725.00	$725.00

Prices on per tonne basis

Source: Matthes & Porton